

display TV (FPDTV) market in India was valued at US\$ 3.55 billion in 2012 and was likely to grow at a compound annual growth rate (CAGR) of 23.7 per cent till 2015. Total market for FPD TVs in India in 2012 was 6.48 million units and total domestic manufacturing volumes was 1.93 million units for the same year.

The report also noted, "The LCD monitors market was estimated to have been worth US\$ 907 million in 2012 and was projected to grow at about 11.2 per cent during the period 2011-2015." The report further conceded that LCD technology has nearly replaced cathode ray tube technology and dominates the display segment presently.

On the other front, the mobile handsets market, particularly the smartphone segment, is growing rapidly. According to a FICCI-EY report titled 'Speeding ahead on the telecom and digital economy highway,' domestic market for mobile handsets is expected to cross 300 million devices in 2015. However, the report estimated locally-manufactured devices to be only 46 million. This will also increase with recent government initiatives as domestic manufacturing is increasing. Case in point, Lava is setting up a plant in Greater Noida.

Other markets like industrial automation are also expected to grow as manufacturing activities pick up. According to a TechSci Research report titled 'India Factory Automation Market Forecast & Opportunities, 2020,' the factory automation market in India is projected to witness a CAGR of around 12 per cent during 2015-2020.

Nilesh Dedhia of Lapteck Marketing opines, "The LCD panel industry in India is growing at a fast pace and we expect steady growth of the same. As government's Make in India is gaining momentum, electronics industry seems to be at the takeoff stage. With India aiming to be the manufacturing hub for LCD TVs, mobile phones, defence and medical electronics, prospects of the LCD industry look good. The only challenge

will be sourcing good-quality components at competitive prices and tax structure on the same."

The local advantage

This burgeoning demand is supposed to aid local manufacturing of LCD panels. The Frost & Sullivan report pointed out that local manufacturers can address the demand through optimal pricing and establish a reactive supply chain. The report noted, "Quality products at a low price, good supply chain and brand equity are some of the key strategic factors in the LCD panel market in India." It further argued, "To have an edge over competitors, it is critical for LCD panel manufacturers to provide extremely competitive prices, immediate availability and effective customer support."

What is holding it back

However, despite all these factors, there is very little manufacturing activity going on. Though buyers are increasingly demanding LCD display systems, there is not enough local production, and majority is catered to through imports. So what is lacking?

The joint IESA-Frost & Sullivan report noted, "In the case of LCD displays, India possesses local design and manufacturing capabilities for some end-use products. However, the cost of production of panels and its technology-intensive nature have kept India void of an LCD display assembling/manufacturing unit hitherto."

D. Malakar, managing director, Deepakshi Display Devices, in an interaction with *Electronics Bazaar* in 2011, said, "Manufacturing LCD modules is a tough and expensive affair in India. Components like LCD glass panels, gold-plated printed circuit boards and integrated circuits required for manufacturing LCD displays are not available locally. Thus, we are forced to import components and assemble these into LCD displays to meet consumer demand."

He further went on to add that, manufacturing of LCD modules is also not a profitable business in



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